

The Ultimate Guide To Order Flow Trading

This guide here is about **Order Flow Trading** and mind you, I think this is the ultimate guide to forex order flow trading you are ever going to read.

It really has some solid nuggets of order flow trading wisdom in it including:

- how to read order flows
- order flow trading strategies and techniques
- how to analyse market sentiment and combine that with order flow trading
- how to use price action with order flow trading
- how to understand market micro structure and use that with order flow trading
- and lots of other goodies as well.

I have been searching about order flow trading in forex market because it is one subject that used to arouse my curiosity and there appears to be very little information about how to actually apply order flow knowledge into real live trading situation.

Fortunately I stumbled upon a work by a [trader called Dali](#) who started a Order Flow Trading Thread at [babypips.com](#).

The order flow trading thread itself is about 40 pages long so I've gone through the entire thread and extracted all the necessary information Dali wrote and what I've done here is simply re-wrote(to explain the concepts a bit more), re-arrange them, put titles, subtitles etc to make it easier to "digest" in one place without going through 40 pages of thread (content) and reading all the other unnecessary stuff in that thread as well.

So what you are going to read is not my work, its Dali's.

(Thanks Dali for the great order flow trading information...if you ever happen to visit [forextradingstrategies4u.com](#))

Warning:

Some bits and pieces of content may be missing or not look connected in this order flow trading guide...I'm just warning you, you may come across a few.

What Is Order Low Trading And What It Is Not

The definition of order flow trading tends to cause a lot of confusion. Here are 3 potential definitions of what order flow trading is:

- Some people think that when you trade directly from the information flow provided by the banks, that is considered order flow trading. To be quite honest, that information would only be available to a very small number of people and they won't be sharing that on the internet or with you.
- Other people think that order flow trading is is tape reading.
- And there are other traders that also think that order flow trading is a form or [price action trading](#).

So which of these definition is correct for order flow trading?

None.

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You see, there is no clear definition-all these mentioned methods are based on anticipation of future order flows in the markets.

Order Flow Trading Is A Mindset

The way I see it is that order flow trading is a mindset.

What does this mean?

Well, instead of just looking for technical patterns, a trader should go a step further and *think about what other market participants might do*.

Think About What Other Market Participants Might Do

This is a very important concept in order flow trading-thinking about what order market participants might do.

And when you think along that line, you can anticipate what kind of actions they will be taking in the market.

You see the forces of fear and greed play out in the market everyday.

If you are a new trader and you are a 100% technical analysis trader, this can be big change because you would have relied so much on technical analysis.

But like anything else in life, once you continue to study it, learn it and over time, it starts to become easier and you can start to view the forex market with a completely different eyes and you'll start to:

- be aware aware how price is moving
- in which manner it moves (not as good as bank flow info, but price action gives some good insights)
- your knowledge about other participants helps you avoid common mistakes

[How to Mark Large Stop Clusters on your Charts](#)
[Applying Order Flow Techniques on the Charts – Part II](#)
[How To Analyse Market Sentiment](#)
[Sentiment Analysis Example](#)
[Market Squeezes](#)
[How A Market Squeeze Can Happen](#)
[How To Take Advantage Of Market Squeeze](#)
[Tools for Market Positioning:](#)

- and finally, your knowledge about market inefficiencies will help you combine all this and exploit those opportunities in live trading.

Traders can argue a lot about the term order flow trading but for me:

- order flow trading is simply is a way of thing.
- order flow trading is a different approach to trading the markets than the common ones and it is not limited to a particular method.

You see, I do not have any private bank flow information, nor do I have any insider information but here's the thing-my knowledge about market microstructure and I don't have any private bank flow information, but still, my knowledge about:

1. market microstructure
2. and other market participants

are giving me an edge to trade the markets.

What Are The Steps To Learn Order Flow Trading?

There are 3 basic steps to learn about order flow trading and here they are:

Step 1: Learn about market microstructure (how price change, type of orders, liquidity etc.)

Step 2: Learn about the other market participants (commercials, banks/dealers, real money, sovereigns, large speculators)

Step 3: Exploit market inefficiencies

Types of Orders And How Price Changes

In this article, I will cover:

- the three main type of orders used in trading
- and how price changes.

We will take a look what really happens and what is moving price.

Liquidity

To understand order flow trading you also need to know about this term called liquidity.

So what is the definition of liquidity then? Well, let me give you an example:

If you want to buy an asset (you are the buyer), there must also be seller that is willing to to sell that asset to you as well.

Now if you are the seller, you also need a buyer looking to buy whatever that you are wanting to sell.

As long as the transaction can be done by both the buyer and the seller, then you can say that there's is liquidity available for both the buyer and the seller to carry out the transaction.

Now, that's the most simplest explanation of liquidity you are ever going to get.

So on trading, how is liquidity created?

How Liquidity Is Created In The Market

Liquidity is created when traders place orders in the market and these orders are called the bid and offer.

These are the definition of a bid order and offer order:

- A **bid** is a limit order to **buy** an asset at a specific price (better than the current market rate)
- An **offer** is a limit order to **sell** an asset at the determined price (better than the current market rate).

Bids and *offers* create liquidity in a market, they provide it to participants which trade via market orders.

If you are a large trader, liquidity is a very important factor. Large traders cannot simply think about how much price will move, but also how they will get out of their trade when the time has come.

Why?

Well, if you are a large trader and you wan't to close your large trading positions but if there's no liquidity, you are really stranded.

This is not a problem for us retail trader, but definitely a key factor for those trading big amounts of money-size is a big problem.

The more liquid a market is, the more it will attract other traders.

Types Of Orders

Market Orders

Market orders consume liquidity provided by limit orders.

They are orders issued to buy/sell a specific asset at the current market price.

A buy market order will be filled against the best offer and a sell market order will be filled versus the best bid available.

Market orders take away liquidity from the market as the participant that issues them wants to trade immediately and eats available liquidity via limit orders.

Limit Orders

Limit orders provide liquidity because they give other traders the option to trade against them.

If I issue a 1 million bid (buy limit order) at 1.31000 for EUR/USD, I provide liquidity to other participants looking to sell at the market at this price.

They are called limit orders because they cannot be filled at a price worse than specified.

This means my bid at 1.31000 can be filled AT or BELOW (positive slippage) the rate, but not above.

Order books or **DOMs (Depth of Market)** are mostly used in Futures trading, as the FX market has no aggregated volume data. Example:



Order Flow Trading-dom1-png

In this asset, we have no orders at 44 and 45, which means you can currently **buy at 46** (the best available offer) and **sell at 43** (the best available bid).

If I decide 45 is a good price to sell at and issue an offer at that rate, the spread will narrow and buyers will be able to buy from me at 45 the amount I offer to sell.

Let's say there is an impatient buyer that moves his bids to 44.

He will again reduce the spread and now sellers are able to sell at a better price than before. The order book looks now like this:



How Price Changes

Scenario 1: Trader „A“ buys 20 contracts of the asset at the market.

The order book above shows the available liquidity and it is visible that he will not be filled at 45 as there is insufficient liquidity.

He will get filled as follows: 10 at 45, 8 at 46 and 2 at 47.

As he consumed ALL liquidity at 45 and 46, the order book will now look like this:



The order book will stay this way until there are new bids created below 47 **OR** there is even more buying at the market price (at the best offer), which drives price higher and further consumes offers.

DOMs are not used in FX (or at least, shouldn't be used, as there is no aggregated volume data for FX), but the mechanism of price change is the same in all markets.

Limit orders are providing liquidity, while market orders are consuming them.

Stop Orders

Stop orders are orders to buy above the current market price/sell below the current market price.

The term „stop order“ is used because the order is „stopped“ from being executed until it hits the determined price.

It is being stopped because otherwise, if you create a bid at the price where offers already exist or above, it would become marketable order and would be executed immediately.

Most of the time, a buy stop order will be executed when its price has hit the market „offer price“ and a sell stop order will be triggered when its price has hit the market „bid“ price.

They will be converted into market orders and will consume liquidity.

But there is something unique about stop orders.

They can also provide liquidity.

Let's say I'm a large trader looking to sell an asset (please forget about the above order book for this example). Market price is currently 44/46 (I can buy at 46 and sell at 44).

I don't want to sell at 44 because liquidity is not good enough for the amount of contracts I intend to sell.

I'm aware that there are a lot of buy stops above the price of 50 from participants that are already short.

Other participants are also aware of this and price will be attracted to those levels.

I will therefore set my offers above 50 (let's say 51 and 52) and gain advantage from the stops.

How?

Chances are good there are not many buyers at those levels, as price will be perceived as high and liquidity is a bit thin.

But there are forced buyers above 50 and they will have to take my liquidity.

My shorts will be filled and price is likely to move quickly in my favor as most buying came from shorts that were stopped out.

Price is not attractive for buyers and will likely drop quickly.

Stop hunting is a common activity in ALL markets, not just the FX market.

Retail traders are aware of this, but mostly in the wrong way.

I'm not talking about your retail broker widening spreads to take some few more stops out, but stop hunting on a larger scale.

Large traders need it for liquidity as above described and bank dealers will also use it also to control their book better.

But let's leave that for later...

Additional Information About Stop Orders

Stops are not technically providing liquidity, but in an indirect way.

Let's again take the above mentioned example. I'm looking to sell an asset which is currently at 44/46 (I can sell at 44 and buy at 46).

I do not find this a good rate to sell at, so I will issue a limit order.

I know there are stops above 50 and those will likely get the attention of predatory traders which will push price into the direction of stops.

I therefore issue two a sell limit order at 51 and 52.

Let's assume sentiment for the asset is rather mixed and there are not many bulls.

With this, there likely won't be any buyers at 51 and 52 and price will not even reach those levels.

But with the buy stops above 50 we have forced buyers.

Those traders determined that they want to get out of their short position at those rates and their demand will accelerate the move and trigger my offers.

I provided liquidity to them, but I exploited the weaker side of the market and got into a position at a better rate. Without the forced buyers, they likely wouldn't get triggered at all.

Regarding your second question: You do not need the DOM to predict order flow.

Even if you have the DOM for i.e. futures, it shows you only orders for the upper and lower five price levels and with those markets being so liquid and fast-changing, you won't be able to extract any useful information from it.

I used the DOM above to visually explain the process of price change.

I will cover the topic of projecting future flow also at a later point

There are two ways the stops can help me:

1) the presence of the stop loss orders above will attract the attention of so-called stop hunters.

It can be speculators, model funds (algos) buying into short-term momentum or dealers who do it to manage their books.

I will cover this activity in a later article, but the key is that a larger cluster of stop loss orders will have the attention of other traders, especially when they are near.

2) the stop loss buying that will happen above 50, will accelerate upside momentum for a short period and get my offers triggered.

However, as they were forced buyers and there are little “real buyers” up here, price will quickly drop.

I may explain this better in a real market example:

GBP bias is clearly negative and we saw a sharp drop down to 150.80 on the Sunday opening.

As price declined, there were traders who lowered their stops to protect their gains and in general, more buy stops were building above.

It is a common practice of retail traders (but not only them) to put their stops slightly above the big figure (big figure = every 100 pip price level – i.e. 1.50, 1.51, 1.52) when they are short.

As GBP/USD recovered, first stops above 1.5150 got the attention of stop hunters and then those above 1.52.

Take a look at the chart below and you will see what I described happened twice!

First stops above 1.5150 were taken out and the pair traded up to 1.5160. However, up momentum disappeared and price quickly dropped below.

The 1.5090 support level held and as price marched towards 1.52, stops above were in focus. Do you see what happened?

Stops above 1.52 were triggered, offers were filled, little buyers left after the forced one's were done and price dropped!



Stop Hunting

Retail traders are generally aware of stop hunting, but have a wrong idea what it really is.

It is not your retail broker slipping you for a few pips to get your stop.

Those brokers do not have the size to move market in such a way!

As I covered in the previously, large traders cannot simply accumulate or distribute a large position whenever they wish.

They have to look for liquidity and stops are helping them in an indirect way, like I explained in the example above.

That is why stop hunts tend to be quickly faded: The large bids or offers got filled and with the stops triggered, there are no buyers left in a buy stop-hunt scenario and no sellers in a sell stop-hunt scenario.

Those bids and offers tend to stabilize the market.

If there were little of them available as the stops get triggered, it would result into an event called a stop cascade – there is insufficient liquidity for the stop loss orders and price gets pushed into the next area of large stops until bids/offers in good size appear.

There are also traders that anticipate such moves and look to take profit near the level where stops are rumored to be.

Those are mostly short-term speculators and model funds (which buy/sell on momentum).

They will take advantage of the forced buyers/sellers and liquidate their position as price hits into the stops.

We will cover the topic of how to identify levels of concentrated stop loss orders later.

Dealers also participate in this activity.

While there are looking to make some profit from short-term trading, their main task is to provide clients with liquidity and get them filled with less as possible slippage.

Let's go through a scenario:

EUR/USD is trading at 1.3050 and Dealer "A" sees many of his clients have buy stop orders from 1.3100 up to 1.3110. This means those clients want to get out of their position once price breaks above the determined rate.

If he does nothing and waits for price to break above 1.31, he will have trouble filling his clients without slippage. There will be stops from other market participants above 1.31 and other dealers will be acting similar, pushing price higher fast.

READ 20 Losing Trades In A Row? No Problem If You Do These 2 Things

He would fill his clients at a bad rate, earn nothing from it and his reputation would be seriously hit if this would happen several times.

So what can he do?

He can gradually start to accumulate a long position and anticipate a break of 1.31 into the stops.

Dealers tend to have a great feeling for short-term moves and are skilled for having "a feel for the market".

If he gradually buys EUR/USD all the way up to 1.31, he will be able to fill his clients without slippage and will make a nice profit from it.

More detailed example:

DEALERS ORDER BOOK:

Buy Stops from 1.3100 – 1.3110 worth \$100 million

DEALERS ACTION:

Buy 20 million @ 1.3060

Buy 20 million @ 1.3075

Buy 20 million @ 1.3080

Buy 20 million @ 1.3085

Buy 20 million @ 1.3090

Net position = Long 100 million @ 1.3079

So he will distribute his position as price breaks above 1.31 and fill his customers stop loss orders.

This can of course go wrong if price fails to maintain the upside momentum and turns lower.

The dealer must then quickly get out of his position.

But again, those traders are skilled at managing their positions and while they can't be right all the time, like other traders cannot too, they have a good feel for the short-term moves.

How to Use Order Flow Information

Again, banks do not open their order books directly to just any outsider, one would need good connections.

So people claiming they have some software that shows the order books for the FX market are scammers.

As volume is not concentrated and FX is an OTC market, there is no real 'Depth of Market' for the whole market.

The one you maybe see in your trading platform is only the DOM of your broker and retail brokers have a small role in this huge market.

However, discretionary flow information is something different.

There are a few sites that provide this information for free and I've been using them long enough to tell they are quite reliable.

Those are people that have some connections in the trading industry, mostly as they worked as traders too in the past.

One needs to distinguish between discretionary information like shown below and people claiming to have DOM's for the FX market.

Flow information often looks like this:

Example:

EUR/USD

Bids at 1.30, 1.2980, 1.2950

Offers at 1.3080, 1.31, 1.3120

Buy stops above 1.31

Sell stops below 1.30

So again, bids are limit orders to buy at a determined price.

Bids mentioned in the flow info providers will be levels where good buying interest is noted.

Offers are limit orders to sell at a determined price.

The mentioned Offers will be where decent selling interest is noted.

Market participants always look for the weaker side of the market, so both buy and sell stops will be targeted. Be aware that you shouldn't just enter a trade and "gun for the stops".

You need to have other factors that support your trade idea.

When using this, it is very important to keep in mind that this is additional information that may help you in your trading, **but you should not trade off this information alone – that is, using them as trade signals.**

A few reasons:

- Orders get cancelled all the time.
- We cannot know the size of the mentioned orders. E.g. if there is a lot of demand for EUR/USD and rather small offers ahead, it will absorb those rather easy and continue to move up.
- If price stops after hitting the cluster of orders, it is not a sign that it will reverse immediately. Watch for additional signals.

Price action and sentiment comes first!

There are always bids and offers, smaller and large ones, but in the end it depends on the power of the bulls or the bears.

As I mentioned, if there is strong demand for EUR/USD, offers will do little on the way up until the accumulation has finished.

How to Use This Information

First, determine the current sentiment.

Example: The market bias for the Pound is currently very negative and GBP/USD is clearly trading in a downtrend. I therefore will only look for opportunities to sell the pair.

Second, note key price levels. These include bids and offers from the resources I will post below and key technical levels (standard support/resistance levels).

Third, watch for price action to give you a high probability opportunity to enter short. I will cover later some of the various Order Flow techniques I learnt.

For now, I just want to note that you should always use flow information like bids and offers with caution. You want the market bias to be in your favor and wait to see a reaction to those levels, not enter ahead.

I hope I have emphasized enough how important it is not to use them as trade signals, so I will post now the resources I use for the flow information (they are free):

[Forex News](#) | [Currency News by ForexLive](#)

The Thomson Reuters IFR feed also includes good flow information and Oanda offers it for free to clients.

If you don't have access to it, don't worry, there is enough info from the free sources.

The subscription from Reuters costs something like \$150 a month, which is way too much and definitely not worth the price, especially for retail traders.

I use the Daily, 4H and 1H chart, but trade on the 5M to execute my trade idea.

Depends on what type of strategy you are concentrating.

If you decide to apply the stop hunt strategy, you can either enter on momentum (e.g. break of intraday S/R level -> target stops below next level) or wait for a retracement into a support/resistance level to get a better entry.

Make sure you concentrate on the high probability opportunities. Clear sentiment (i.e. currently negative GBP and JPY bias) will give you the best edge.

Technical factors include price action around the specific support/resistance level (i.e. if it bounced several times of a support level, stops below will grow larger).

If you want to fade a stop hunt, the entry should be pretty clear (near the stops).

The set up will give you the opportunity to use a tight stop, but here it is even more important to only apply it when sentiment is clear.

You don't want to go against the flow, as it will just take out your stop and move on.

A good example is EUR/JPY. There were larger stops above 123, but sentiment was clearly JPY-negative and there was real momentum building in EUR/JPY, not just some stop hunting.

Obviously, someone who would have applied the strategy here and went short, would have got stopped out.

On the other side, GBP-sentiment was negative and GBP/USD provided a few good opportunities to fade stop hunts

I agree that large participants certainly will look to hide their intentions, but the bids/offers mentioned in the feeds that provide flow info are rather levels where a larger amount of different limit orders reside.

Sometimes, more detailed flow info can be leaked (i.e. "x" has large offer @ 1.30), but those were mostly from corporations (hedgers).

We certainly won't find info like "Large hedge fund has offers at 1.30".

I also agree with your 2nd statement and this is why I strongly advised against using such info as trading signals. Sentiment has always priority to order info and traders should wait for a reaction to the reported levels, not acting ahead.

Participants In The Forex Market

Before we dive further into the world of Order Flow Trading, we must be aware who participates in the FX market. While not all groups have the same characteristics, there are some most have in common. I will split the groups up and explain them all in more detail.

1. Dealers
2. Sovereign Names
3. Large Speculators
4. Real Money
5. Commercials
6. Retail Traders

Dealers

Dealers are the main market makers for the FX market as they operate on the "Tier 1" level – the interbank market. A dealer quotes his customers a bid and an ask price and the difference (the Spread) will be his profit.

As a transaction with his customer takes place, he takes the other side of the trade and can either get rid of his exposure via the interbank market or he can hold the trade if he thinks it will benefit him.

Dealers therefore can hold trades for speculation, but they usually close them in a short time period. They mostly finish their trading day without any open positions.

Dealers are well-informed traders and have a good sense for short-term market movements, so it only makes sense for the banks to let them also do some discretionary trading beside handling customer trades.

They participate in stop hunts, as I explained earlier in the thread, because they look to manage their book.

The network of dealers working for the top FX market-making banks build the "Interbank Market", the highest tier in the FX market.

Sovereign Names

This group includes central banks and institutions like the Bank of International Settlements (BIS).

Central banks operate in the FX market on a daily basis and when other participants become aware of their presence, they will pay a lot of attention to what they do.

Asian Central Banks are one group within the Sovereigns that are often identified in the marketplace and news providers like Reuters are reporting about their business.

Especially if things are rather quiet, they can have a strong influence, so keep that in mind! The “BIS” is an institution that handles transaction for other banks.

The idea is basically that other CB's can operate in the market without being identified.

Nevertheless, any mention of “BIS” or “Basel name” in the news feed is worth paying attention to.



Large Speculators

Those are hedge funds, model funds (algo & HFT trading) and large traders.

They are in this game for the profit and are the group with the greatest variety amongst members.

Some trade intraday, some exclusively long-term and some combine all of this together.

Model funds mostly focus on automated trading and volatility is something they love.

Most of the hedge funds however, will look for stable trends to ride, like the current GBP and JPY downtrends. As they are leveraged players, they can feel the pain sooner when a squeeze is happening in the market.

It is certainly not just the retail traders getting stopped out, large specs can be caught with a vulnerable stop loss too.

Real Money

They are called that way because they do not use leverage. Included in this group are mutual funds, classical investment funds and sovereign wealth funds.

They are conservative and will generally either look to manage their currency exposure or, if speculating, look for stable trends.

Hedge funds do too look for trends, but they have the ability to leverage up and switch to short-term trading if they wish to.

As you'll understand, real money funds that do not operate on leverage and cannot get aggressive, will not be able to operate that way.

Real Money will be usually a bit late in a move, but their presence is still worth noting, as they look to accumulate positions.

Example: Real Money accounts were quite present sellers in GBP/USD the past few weeks.

Commercials

Commercials (or corporations/businesses) are looking to hedge their currency exposure they have through their business operations, mostly due international business.

Managing their risk is the number 1 task for them and not profits from speculation.

Their activities can have an impact on the markets if they are trading in a big size, but they are not participants one should follow, as they are not profit-motivated in the first place.

Retail Traders

The number of retail traders that lose is hard to guess, but it is definitely high.

The popularity of Technical Analysis (TA) led them to place their stops at predictable places and this can be exploited by Order Flow Traders.

Even as the number of proven trading strategies shared free has increased over time, most retail traders lack the consistency and discipline to make it in this business.

I hope that gave you a good insight who's operating in this market and some of their common characteristics.

You are competing against other traders in the market and some of them are powerful players with a lot of experience and capital.

Without losers, there would be no winners. Start thinking about how could you exploit the characteristics of other participants.

Markets are all about fear and greed. As price moves, some will start to feel pain and will have to cover at some point.

Hunting stops and initiating squeezes in the market place is not just about retail traders, professional traders also get stopped out or are forced to cover as the position moves against them.

One of the most important thing is that Order Flow Trading is a mindset that teaches you to exploit the weaker side of the market.

You want to take the high prob opportunities and go with the flow.

Some questions to think about ...

- 1) What are the key themes in the market currently?
- 2) Pick a currency and write down if current sentiment is positive, negative or mixed. What are the main factors driving current sentiment? You don't have to be an analyst and you certainly don't have to make it complicated. Follow a news feed or get some headlines from either Reuters, Bloomberg or Financial Times website. Keep it short in form of notes.
- 3) What is price action telling you? As prices moves further, compare it to your sentiment analysis.

Think about the stops of other participants

Think about the characteristics of other participants.

Don't just see simple "Support/Resistance levels" ... there is nothing magical about them,

orders drive price action. Think about what it means for bulls if a key support level holds. Will they be accumulating further?

Does PA indicates decent demand or are the upmoves quickly running into further selling?

What if the level breaks, where does the pain start for the bulls?

I don't want to make this complicated or confuse anyone, but in my opinion thinking more deeply about these topics is useful, especially for newbies.

Eventually, I will cover this in more detail through the thread, but take some time to see the markets in a different way than you did before.

When I just started with OFT, I thought about these themes and made a lot of notes and observed the markets.

It was of tremendous help, but I over complicated things a bit.

Just make sure you don't over complicate things!

Reading Order Flow

There are several services that provide real-time flow information like the one's I mentioned above.

Again, they have to be used with caution as orders can get cancelled or can have little or no impact. Also, we don't want to get too dependent on them.

Imagine a service get's discontinued – you want to be able to do your own order flow analysis and not let yourself be distracted by this.

Reading order flow is possible on charts and you don't need the flow info services necessary.

This is how the standard flow info looks like:

Bids at 1.3000, 1.2980, 1.2950

Offers at 1.3050, 1.3080, 1.3100

Most of the reported levels are one's that have cluster of orders at or near it.

From the above mentioned info we could say that there is buying interest (demand) at 1.30, 1.2980 and 1.2950.

The further the level, the more interest we can expect, as traders will feel comfortable buying “very low” or selling “very high”.

Remember that price action can influence sentiment too.

If we see EUR/USD breaking below a key psychological and technical level, some traders will sell on the break (i.e. momentum funds) and with stops getting triggered on the way, this will drive price further lower.

Orders can either:

1. Get “eaten” along with little or none impact (this is common during a stop cascade/squeeze)
2. Cause a slow down in momentum; price will consolidate
3. Cause a reversal (common during times of low liquidity)

When trading of reported orders, I recommend waiting for a reaction and not putting a limit order ahead.

See how price reacts to the level and how it behaves it after it hits it.

Let’s say price trades down to 1.2950, where we have reported large bids from various participants. We see price stops at the level and retraces back up.

Now, how does it behave on the way up?

Does it seem that there is real momentum building to the upside or are rallies hitting quickly into fresh selling?

Reading the order flow directly is a bit tough in the beginning and it is hard to explain it in words. You have to monitor price action as it happens and take notes.

Combine this with sentiment and you have a real advantage.

Sentiment will give you the biggest advantage. Like I mentioned in my last post, you don’t have to make it complicated.

Note key factors that are driving price action currently, analyze price action itself and keep track of how they correlate.

Let’s take the Aussie Dollar as an example. Sentiment is positive as the RBA indicated it will not cut rates in the near future and on better economic data.

Price action confirms this, so we want to look for reported bids and wait for a reaction.

Nothing works all the time, but with sentiment on your side, you'll go with the side of least resistance.

What really turned my trading into a profitable business was focusing on the high probability trades.

They don't require a huge stop and the reward is clearly **worth the risk**.

Market profile is another factor.

During times of low volatility, playing the range is the best strategy.

Let's say we are trading in a 1.2950/1.3020 range in EUR/USD and there is no clear sentiment.

You can anticipate a reaction to the reported levels and fade any rally or drop back to the mid range level.

When volatility is high, bids/offers can get consumed along the way quickly and that is an environment where you definitely don't want to pick a top/bottom.

When there is real strength behind the move, look to join the momentum and not fade it.

In combination with the reported levels, you can identify key supply/demand levels on the charts.

Previous day high/low, previous week's high/low, previous week's close level and psychological levels (big figures – i.e. 1.30, 1.31). Start to “read the flow” on the charts and you'll get better at it with time.

Stops are also easily identified on the charts.

Just think what the technical analysis guides taught you.

They taught you to place your buy stop above the big figure (i.e. 1.30 -> stop at 1.3010) or your sell stop below the big figure (i.e. 1.30 -> stop at 1.2990). Or, above resistance/below support.

[READ 8 Amazing Facts About Forexfactory \(Not Many Forex Traders Know\)](#)



Above is an EUR/USD chart that will serve as an example.

Demand at 1.2920 was large and there were first sovereign names reported as buyers and leveraged funds later joined the move.

Obviously, sell stops were building above 1.30 and 1.3080, which flow info services later confirmed. As we moved up, they came more and more to the attention of other traders and of dealers, so it was only a matter of time.

In my opinion, it is better to enter on momentum and push into the stops, than try pick a perfect entry when you have missed the chance.

Obviously, some of those concepts will be familiar to you from some of the technical analysis concepts.

So what is Order Flow Trading about and how is it different?

What I learnt is that I have to think differently about the market.

It is a mindset that will give you a real advantage in the market as you focus on the core mechanism of the markets and on sentiment.

As I mentioned, markets are a great deal about psychology.

I will be honest in saying that my capabilities in explaining some of those specific concepts are not that wide but I hope you get something from these.

Order Flow Trading can be applied in many ways and the above mentioned are just the basic examples.

I have some more article coming soon, then I will try to make the concept more understandable through trade examples and similar.

Price action patterns can be traded successfully without the knowledge about order flow, but knowing the OFT concepts will give you an advantage, as you are more aware why is it happening and you will understand better the factors driving PA.

As I mentioned, it is part a collection of methods based on market microstructure, but also part a mindset.

It encourages you to think more about other participants and how they may act.

My path was the following: Technical analysis (the common indicator-loaded stuff) -> Price Action -> Order Flow Trading

I see OFT as the final step that helped me transform my trading into a successful endeavor.

It might seem a bit complicated to some in the beginning, but IMO it is worth the effort. However, it is important to suit your trading strategy to yourself.

If you're doing fine with your PA strategy and are building consistency, stick with it and only modify your approach if you are feeling comfortable with it.

When using the order info, I would concentrate on the reported levels and combine it with your PA analysis and sentiment analysis, rather than focusing too much on who bought/sold.

When there is talk of sovereign (i.e. BIS, ACB) buying/selling during illiquid times, it can have an impact, but most of the times it is already old news.

If we hear a large hedge fund has bought EUR/USD this morning, it won't matter much for us.

We do not know what the size was, what is the trade idea behind it and it is already old news.

Regarding your 2nd question: I can only reference back to my previous response to you.

What changed OFT for me, was that I could better determine the forces that were causing the PA pattern.

Together with sentiment analysis, I can focus on the high probability opportunities and learning OFT also improved my skills in reading PA.

There are a lot of inefficiencies one can exploit in the market once we get more familiar with market microstructure.

Sentiment Analysis

Sentiment analysis is an important part of the Order Flow Analysis.

One could focus only on the technical stuff, but incorporating sentiment reading into your analysis will help you to focus on the higher probability trades.

One has not to go too deep into fundamental analysis to apply it.

I do not in-depth analysis about the [global economy](#) or specific countries, but rather focus on the key themes in markets and follow news.

There are a lot of free news feeds out there and most brokers offer the one from Dow Jones.

I personally use only the IFR Markets feed from Reuters, but again, the one from Dow Jones or websites like ForexLive will also serve you well.

So what should you be looking for?

1. Key Themes in the Market

What are the key themes everyone is talking about in the markets?

This should not be too difficult to identify, as news services will report about them frequently. Currently, we have:

- a) Cyprus bailout
- b) BoJ Inflation Target
- c) UK's stagnating economy
- d) The Fed's response to the improving US economy

There are themes that will have a long-term impact like the Fed's future policy and those with short-term impacts like a worse than expected economic data release of lower importance or some temporary political fights.

The short-term impact events often cause inefficiencies, which the OF trader can fade.

The long-term impact themes are the ones that are driving flows and even if you are day trading, going with the flow will give you an edge in the market.



Order Flow Trading-bullbear-png

2. Keep Track of Sentiment/Price Action relationship

I will always look for obvious sentiment (like currently e.g. AUD-positive) and keep track of the price action.

If bias for a currency is positive, because of e.g. improving economic data and good chances of a rate hike, I will look for price action to deviate from this and enter long on a favorable opportunity.

This can be caused by a short-term impact event or it can be a “natural” retracement (profit-taking, short-term market participants).

One of my favorite patterns is the counter-sentiment stop hunt, which I explained earlier in this thread.

If we take again the example of the currency with positive sentiment, we want to look for a stop hunt down into sell stops and fade it.

Especially when there is no specific event/reason driving prices, just a “random” stop hunt, this will offer great opportunities.

3. Price Action Can Influence Sentiment

It's a two-way relationship. Like I mentioned in one of my earlier articles and Minotaur wrote about a few posts above, price action also influences market bias.

Let's take an example from today: Shorts were worried keeping their position open over the weekend as any improvements in the Cyprus bailout deal could lead to a larger spike on the Sunday opening.

Even as market bias for the Euro is negative, the risks are too high for shorts.

There is a short-term base at 1.2880 and the level was respected.

Once buying picked above 1.2940, shorts got even more worried and probably felt there is a squeeze ahead.

Stops above 1.2950 were eventually triggered and it attracted further buying until we finally hit stops above 1.30. Guess what?

We had reports of large offers sitting at 1.30 during the whole week, so short-term participants took advantage of weak shorts by pushing into their stops and some other participants got themselves good short entries at 1.30.

The situation in Cyprus is still bad, but given the lack of concrete news, the market “cleared” the weak side of the market.



Order Flow Trading-pit-jpg

Conclusion

Don't make it complicated and keep your sentiment analysis simple!

Note key themes in the market, follow the news (focus on one feed and key headlines, don't become a victim of analysis paralysis) and study the relationship between your sentiment analysis and price action.

Think about your opponents in the market and try to identify the weak side of the market.

Finally, combine it with technical order flow (key levels, stops) and keep in mind that price action can influence sentiment too! 🤔

Here is one trade example, it is a position I still have running.

I shorted CL (Crude Oil Futures contract) at an average price of 95.30 as the stop hunt above 95.50 was completed. Sentiment turned negative pretty quickly in FX markets, but US markets were still trading in a tight range.

The choppy price action in the indices and my strong conviction about current negative sentiment in the markets gave me a good reason to stalk a short set-up in CL. Why CL?

Stop hunts occur in every market, but in CL it just tends to “stick out”.

I watched stops getting consumed on the way up and waited for price to lose momentum.

Stops above 95.50 were done and everything indicated CL hit into decent selling interest at 95.50. While upside momentum was quickly regained on the previous move, this was not the case after it hit 95.50.

So, price action combined with my view of negative sentiment, made me short CL at 95.30 and I'll leave it open for a stop run below 94.

I'll trail my stop on the way down.

It's important that I note that it is sentiment that made me anticipate the set-up.

I do not advise going against momentum unless you have sentiment in your favor.

 Order Flow Trading-cl-jpg

Barrier Options

Barrier options are exotic derivatives and an option on the price of the underlying asset.

The *option writer* (typically banks) sell options to the *option buyers*.

FX Options are traded over-the-counter and not on exchanges.

If the option expires worthless, the option writer has earned the premium (similar to a commission as you enter a trade) and the option buyer has lost.

If the option is in-the-money, the option writer has to pay out the option buyer the specified amount.

There are:

Knock-In Options – the option is worthless until the underlying asset hits the specified **barrier** price in the set time period. Example: EUR/USD spot price is 1.28 and I buy a 1.30 knock-in option. The option is worthless until it breaks above the 1.30 level.

Knock-Out Options – the option becomes worthless if the specified barrier level is hit. Example: GBP/USD spot price is 1.51. I think the pair is heading higher, but do not expect much volatility. If I buy a G/U option with a **barrier** at 1.53 and it does not reach the price level in the specified time period, I get paid. However, if price breaks above 1.53, the option will become worthless.

Double No-Touch Options - Just like the knock-out option, but it has two specified **barrier** levels. Example: DNT option for 1.26 / 1.34 in EUR/USD. If price stays within the set range during the stated time period, the option writer has to pay me the specified amount. However, if price breaches any of these two **barrier** levels, the option will become worthless.

Double One-Touch Option – Knock-in option with two set barrier levels. Example: GBP/USD 1.46 / 1.54. I will get paid on the option if it reaches either of the two set barrier levels during the specified time period. If it does not, it expires worthless.

Why does it matter?

Barrier options can trade in decent size, there are sometimes ones in the value range of 500 million up to 1.5 billion. Let's use an example for the Knock-Out barrier option, as it the more common used one.

Put yourself in the position of the option writer.

You sold a 1.27 / 1.34 DNT barrier option to a customer with a 500 million \$ payout.

Price is approaching the 1.27 level and that is exactly what you want to see.

Once it hits 1.27, you have pocketed the premium and will keep the half billion.

This is why option desks will gun for these barriers and try to get them triggered. Similar to the FX spot dealer, you want establish a short position and increase downside momentum.

As there are often stops located above/below barriers, this will help to attract the attention of Spot dealers and of predatory traders gunning for the stops.

On the other side, there is the option buyer that has great interest to keep price away from the 1.27 level.

Not everyone can buy a option in that size (\$500m), so you can be sure he's got some firepower too.

He will try to buy ahead of the level and hope there will be also other bids in decent size. A good example is the 1.28 barrier option in EUR/USD that got triggered today.

The option buyer was lucky yesterday, as there was decent demand from Asian Sovereign names and corporates that kept the pair above the barrier level.

However, EUR-negative sentiment led to fresh selling this morning and the pair broke below 1.28.

When we talk about barrier options in decent size (at least, larger than \$50M), they certainly can have an impact on markets.

However, I don't want this to look like there is a battle whenever a barrier option appears.

Just to mention one reason, there are participants that simply don't care about some barrier option, they are gonna execute their trade idea nevertheless.

Some things to keep in mind:

- The “battle” will be more intense if the expiry is near. If the 1.27 barrier option in EUR/USD expires in two days and we are approaching the level, there will be very likely some effort from the option writer to get price down there and from the option buyer to keep price above for these two days. On the other side, if the option expires in two months, but it seems very likely we will break below 1.27, defence from the option buyer will be minimal.
- Sentiment & Market Profile! If we get bad news from Europe, there will be a lot of selling coming in and nobody’s gonna care about some barrier option. The option buyer will most likely also see that it is not worth defending the barrier – why additionally waste money?

How to use this?

Note reported barrier options (IFR, ForexLive, I mentioned earlier) and establish a position to push into the barrier level.

Preferably, go with sentiment.

Example: There were 1.28, 1.2775 and 1.2750 barrier options reported and sell stops reported below them.

One could not have a more beautiful OF trade: Establish a short position and gun for the barrier and stops below. Given the average daily range of EUR/USD, 1.2750 would’ve been a realistic target.

But a good approach would also be to establish a position and take partial profits as each of the barrier gets triggered to your final target.

In general, it is more preferable to go with the option writer and attack the knock-out barrier, especially when sentiment favors such price action.

However, in a market environment with little volatility and tight ranges, barrier protection can be stronger.

Market Psychology

Putting ourselves in the shoes of other traders is an effective way to get a better feeling for current market bias.

Remember, fear and greed play a big role in the markets.

Having a good understanding about market psychology can give you an additional edge in the markets.

As price action develops two things happen:

- some traders will be driven by greed
- and other will start to “feel the pain” as the position moves against them.

Let's take EUR/USD as example: Going into the last ECB press conference, the market was largely short and buying interest was not very high. However, after the ECB meeting, the Euro rallied.

While there were fundamental reasons for the move, price action itself contributed to the shift in sentiment.

As we broke above 1.28, predatory traders were getting ready to push into the large buy stops above 1.29.

Price was moving higher and those positioned short got more nervous.

It was obvious there is a short squeeze ahead and eventually stops above 1.29 were triggered.

In this example, we can see while the shorts started to “feel the pain” and had to cover, the longs took advantage of it and pushed into their stops.

This goes on until some kind of balance is established.

When sentiment takes a turn again, the process will repeat. Let's say, there is really bad news coming from Cyprus and Euro bias turns negative.

EUR/USD would be driven lower by fresh selling and sell stop clusters would come to the attention of other traders.

 Order Flow Trading-eurusd1-png

Traders positioning is important, whether you daytrade or swing trade.

You can keep an eye on COT positioning for a medium-term view on positioning.

Even if it is lagging a bit, it is still useful, especially when positioning hits extreme levels.

For short-term positioning you can guess it pretty easily once you watch price action for a certain period and get some feel for the markets.

So, here is some homework: Try do apply some of this in your trading.

In the previous sections, you have learned about other market participants characteristics and how to identify stop clusters. Combine it with the above mentioned method.

Important: Don't try to see a stop hunt or squeeze in every move. Stay focused on the key technical levels and the stops that are located above/below.

On a personal note...

I'd like to share some of my experiences in the trading business.

Like most people do, I got into trading with the "Get rich quick" mindset.

The world of trading is exciting, it is easy to get lost in emotions.

Prices moving rapidly, news coming in every minute and tons of various chart patterns – I tried to get as much information together as I could, with the belief it will not take too long until I'm making serious money.

We all know how these stories end – with a blown up account! I didn't lose all the money in my first account, but I was pretty close.

I'm thankful for this experience, as I got at least rid of the "get rich quick" mentality.

I decided I'll simply get rich slowly...

As I mentioned in the opening post, I started trading in the stock market.

I wasn't really an active trader, doing some simple technical analysis, combined with some fundamental analysis and holding trades for at least a few days.

When I got out of equities, it was the forex market that got me all excited about markets & trading and made me decide that I want to build a business out of it.

We all felt that excitement about trading currencies, right? The largest market in the world and a truly global one – open 24 hours, 5 days a week.

I started applying various forms of technical analysis, from indicators to chart patterns.

I thought this has to be the key to successful trading – an approach that rationalizes price movements with all available information included in the charts.

Why use fundamental analysis?

It was all in the candles, I thought.

For some time, I went through the highs and lows of trading – being overexcited when hitting a winning streak and frustrated as I realized that my strategy “did not seem to work anymore”.

Like most traders, I then removed all the indicators and traded the naked charts.

This gave me a little better understanding about the markets, as I focused on price action, not on indicators. I did better than in the first stage of trading, but still lacked consistency.

I always felt that I’m missing a piece of the puzzle and it kept on bugging me.

[READ Forex Factory Economic News Calendar - 11 Things To Know](#)

This prevented me from strictly following my rules and achieving the consistency I was seeking.

However, I had that deep felling in me that trading is what I want to do.

I’m sure many of you had the same feeling at some point? I HAD to succeed in this, not because I desperately seeked a way to accumulate wealth quickly, but because I’ve found something I love to do.

So, I did not rest and continued to do research.

After spending some more time with price action trading, modifying various strategies, I stumbled upon a few threads about order flow on FF.

The topic seemed a bit complex on the first look, but I felt that I’ve finally found the missing puzzle piece I was looking for.

See, it’s not just the order flow strategies I’ve been applying that turned me into a consistent and successful trader. It is the way of thinking – the mindset – of an OF trader that was a game changer for me.

Instead of rationalizing everything through technical analysis, I chose to study what other participants operate in the marketplace and what characteristics they share.

I see the markets completely different now and I can get a feeling for market bias much easier. My knowledge about market microstructure help me understand events that occur in the market in a clearer way.

It is a constant seek for liquidity and clearing out the weaker side of the market. This is no overstatement – your loss is somebody else’s gain.

Trading is not my primary source of income, but it provides a nice, additional flow of money and I love to trade.

Not depending on the money allows me to trade stress free.

If you want to be successful over the long run, you have to stop thinking about the money.

I know it’s very hard.

It took me years to achieve it.

But after you calculated your risk and reward on the trade, stop thinking about the money!

You have to think objectively about your trade and focus on your plan. As soon as you start to think about the cash, stop the thoughts!

Furthermore, you have to find a strategy that suits you.

You have to feel comfortable applying it and you need to have confidence in what you are doing. Doubt can be very costly in trading.

Follow your trading plan strictly after you have a strategy that you’ve tested and feel comfortable with.

We all go through tough times, I still have them too.

But you have to stay calm and think about your long-term goals.

Also, don’t compare your results to those of others.

I couldn’t care less if there is a guy making millions with system “XYZ”, I got a trading style that suits me and I’m the only person responsible for the risks I take. When you’re in a

trading room, stay honest.

You will gain nothing if you act like a pro trader.

Be honest to yourself in trading and accept temporary defeats. Be honest when you need help.

If some people make stupid remarks about the mistakes you've made, ignore them, they are likely people without self-confidence, acting like they are perfect traders and trying to hide that they're actually losing.

Truth is, trading is a tough game.

Like every other profession in life, it takes time to get to a pro level.

YOU will be your biggest enemy as it is unavoidable that you'll be driven by emotions from time to time. It is key that you keep a cool head and think long-term.

I wrote all my trading rules (analysis, strategy, entry, management, exit, money management) on a paper sheet and stuck it on the wall, so I can always see it from my trading desk.

When you find yourself tempted to break a rule, keep an eye on the plan and do the right thing...

I cannot say if Order Flow Trading is something for you, or not.

You will need to find that out by yourself.

But what I want you to understand is that if you study OFT and apply it, it is not limited to a specific strategy.

It does not mean you have to trade stop hunts. Like I described earlier, it is a mindset and you can combine it with other strategies, which do not have to be directly OF-related.

Start by studying market microstructure.

You will find great info in Darkstar's book, Carol Osler's academic papers and the various threads on the internet.

To conclude, trading is a lot about psychology and no method or strategy can guarantee you success, but you will see that through the OF mindset, you'll be able to see the markets

from a different, more advanced perspective.

Applying Order Flow Techniques on the Charts – Part I

Understanding the importance of liquidity and what role stops play in the markets, you can now apply it directly in your trading.

While there are several services that report where stop loss orders reside, it should be your goal to learn it yourself. After all, we want to make sure we are not too dependent on any news service or similar in our trading.

There are a few key things you need to keep in mind about the accumulation of stop loss orders in the markets:

1) The higher the timeframe, the higher the number of market participants being aware of a certain technical pattern and placing orders based on it.

Simply, more traders will notice a pattern on a 4-hour chart than one on the 15 minute chart. There is a lot of noise on the minutes charts and not many traders will bother with interpreting too much into it.

2) The larger the number of confluences, the larger the size of the orders

If a key resistance level happens to be near the 200 simple moving average and the 50.00 % Fibonacci level from a key market swing (i.e. drawn from the monthly high to the monthly low), it will get even more attention and orders around it will be larger.

3) The longer a pattern exists, the larger the size of the orders

Let's say we have an established range in EUR/USD between 1.30 and 1.32. Limit orders will start to cluster at both levels and stops will be placed below 1.30 and above 1.32. The longer the range exists, the larger the stops will grow until one side finally cracks and triggers the stops.



Order Flow Trading-gbpusd-jpg

We can see in the example above that GBP/USD traded within a 1.5450 – 1.5600 range. Stops were growing larger on both sides as price remained within the range.

There were two things telling us that the downside was more likely to crack than the upside: 1) Weak UK fundamentals combined with USD strength and 2) the way price action reacted as it tested the lower range, we actually took out the stops below 1.5460, a sign that buyers aren't as strong as the sellers ahead of 1.56.

Remember what I taught you about market psychology.

Once traders start feeling uncomfortable with their position (at least the professional one's), they will look to cover. GBP/USD was just not able to break convincingly above 1.56 and on every failure, which was followed by a downmove, there were some longs covering.

The sellers were able to play this game for quite a while and they finally gained the upper hand on Friday, being able to push the pair into the weak sell stops.

Applying order flow trading is considering the technical picture and taking advantage of the weak side of the market.

How to Mark Large Stop Clusters on your Charts

- 1) Open a blank chart – start with the Daily chart
- 2) Note key support and resistance levels on the Daily and note at which price level the 200 SMA is trading. If you wish, draw a Fibonacci retracement from the latest major swing low to the most recent major swing high.
- 3) Move down to the 4H chart and again note the key S/R levels. Mark them in a different color
- 4) Switch to the 1H chart and repeat the process, noting minor S/R levels. Again, draw them in a different color than the previous ones, so you can recognize them more easier.

Here is an example (EUR/USD):

 Order Flow Trading-eurusd-jpg

I started with the Daily and moved then to the 4H chart, noting key support and resistance levels.

Repeat the process on the one hour chart.

I did not mark the Daily 200 SMA and the Fibs on the example above, but feel free to do so if you consider it helpful.

Stops are building below major support levels and above major resistance levels with limit orders very likely ahead. Your task is now to get a feeling for market bias and read price action to recognize the weaker side of the market and take advantage of them.

Applying Order Flow Techniques on the Charts – Part II

In the last section, I described the process of finding large stop clusters on the charts.

Now, I will try to explain how I read price action with the Order Flow mindset applied.

So why do key support/resistance levels work most of the times?

There is psychological attachment to them! That's why!

Let's take EUR/USD for example:

- 1.2980 to 1.30 is currently strong resistance
- and sellers are lining up offers there in anticipation that the level will hold.
- Traders that are short EUR/USD are watching this level closely and a break above 1.30 would be painful to them.

Just think of the situation where you feel quite comfortable with a position and think it will run further in your favor and then suddenly you see a sharp move which takes out a i.e. key resistance level.

Even professional/institutional traders have such situations where it doesn't make sense for them to hold a position further.

As the 1.2980-1.30 zone is an established resistance zone, EUR/USD shorts are watching it closely and how price action behaves in the zone can largely influence market sentiment.

If we get another run into 1.2990, but it fails to even reach 1.30 and drops back quickly, *the bears will feel renewed optimism.*

Bulls on the other side will feel frustrated and will question whether their EUR/USD long position makes sense. Stops are building on both sides and it's just a matter of time until it becomes clear which side has the upper hand.

What if we get a breakout above 1.30 and stops from EUR/USD shorts get triggered?

Bulls will have gained the upper hand in the short-term as they cleared some of the shorts, but much will depend on price action after this event.

Most important of course, are fundamentals. But then, are the dips well-bid compared to the selling that occurs at the rallies? Are bulls showing a strong initiative to keep price above?

A false breakout followed by another drop would mean this was just a short victory for the bulls.

 Order Flow Trading-eurusd-jpg

To conclude: When trading you want to think about the other participants and what they are likely to do in a certain scenario.

Sentiment analysis can give us a very good edge and it can compensate if you struggle a bit with understanding fundamental analysis.

Price action can also reveal a good amount of information – keep an eye on how the dips and the rallies look like. If we have small rallies, but strong downmoves, the bears are in control.

How To Analyse Market Sentiment

How do you tell if the market sentiment is negative or positive for a currency pair?

Here's are the steps:

1. I start by checking the relevant headlines on Reuters, Bloomberg, reading the opening reports on [OrderFlowTrading.com](https://forextradingstrategies4u.com/order-flow-trading/)
2. and then write down what I perceive as prevailing sentiment for each major currency.
3. Then compare the market sentiment to price action.

All resources you need for sentiment analysis are available for free, so there is no need to subscribe to any services with in-depth analysis.

When I was a beginner in order flow trading, I found it more useful to focus on the key headlines and topics traders are talking about.

When you got an idea about the market sentiment, compare it to price action, make brief notes and see at the end of the trading day if you got it right (or not).

Again, don't get confused by all the intraday noise, but focus first on medium-term sentiment.

Sentiment Analysis Example

Lets Look at Australia, the AUD:

- RBA likely to cut rates further this year, while the FED is expected to scale down it's QE program
- Australian fundamental data doesn't look healthy, Chinese growth is slowing down, commodities prices are dropping
- Prevailing market bias is negative
- COT data shows AUD short positioning is not at extreme levels yet, could still expand
- Price action shows small rallies and large downmoves
- 0.96 is now the key level everyone is watching

When fading, I wait first for a reaction to the level.

Even if sentiment is in our favor, we must keep in mind that orders can be withdrawn or that a sudden turn in flow occurs and the levels breaks without much effort needed.

A good example is currently AUD/USD.

While sentiment remains negative overall, there was quite some short-covering going on today and it took out the 0.95 and 0.9550 resistance levels easily.

Look how price acts once it has broke a major technical or large order level. Assuming a large resistance level where offers in good size reside, you don't only want to see price slowing down, but also how it reacts later.

In this example, rallies should be small and downmoves larger.

For this, I switch to the small timeframes (M1, M5) to see the PA more clearly.

If the dips ran into good buying interest and the rallies seem stable, you don't want to fade the move.

It all comes down to risk-reward, when there is clear sentiment, you can go sometimes ahead and fade it, but the most important thing is that you **accept when you are wrong**.

For example, if someone focused on the AUD-negative sentiment and forced himself to believe the Aussie has to trade lower, he would have got hurt today.

If you fade and the trade goes wrong, accept it and either a) go with the flow or b) stay out of the pair.

The point of order flow trading is going with the overall flow and taking advantage of inefficiencies and not fighting the strong flow.

Go ahead and compare two pairs.

AUD/USD as it broke above the key resistance level at 0.9550 today:

 Order Flow Trading-audusd-jpg

What do you see?

- 1) Price broke above pretty clearly, taking out the offers without much problem
- 2) More importantly, the dips remained well-bid
- 3) Price broke back below the now-support 0.9550 level, but strong buying interest at the dip to 0.9535

This is how a well-bid pair looks like and something you don't want to fight.

As you can see, AUD/USD broke above 0.96 later.

Now, GBP/USD:

 Order Flow Trading-gbpusd-jpg

See how parabolic that move was?

Not only that, but how little support it found after that stop hunt? Combine this with mixed sentiment and you have a good fade trade.

Now, I hope you can understand what I mean by reading price action.

It becomes much easier with time and you'll start to see things much more clearly as you gain experience.

I trade quite often on intuition, because I've watched markets for so long.

Market Squeezes

You have probably already heard the term “squeeze” in financial markets.

It describes a market where traders are caught overly positioned to one side, which leaves them vulnerable to sentiment-changing events or large players taking advantage of their vulnerability by engineering a “technical” squeeze.

How A Market Squeeze Can Happen

There are two main ways market squeezes can happen-by an event/news or by technical reason.

I will explain each below...

1) DUE TO AN EVEN THAT HAS CHANGED SHORT TERM SENTIMENT

A very recent example is the USD/JPY squeeze we saw the last night in the Asian trading session.

Traders expected that the Japanese Prime Minister Abe and his party will win the majority in the Upper House election – which they did.

However, this was already priced in as many traders bought the USD/JPY on Friday on those expectations.

This resulted in a squeeze of the traders who were positioned long. Those who where long, took profits, and some predatory traders joined the selling to profit from the move.

Once the stops below 100 started to getting triggered, downside momentum picked up until we ran into good-sized bids around 99.60.

2) DUE TO TECHNICAL REASONS

Large players can engineer a short squeeze without an event to gain more favorable conditions for themselves.

This is most commonly seen as a stop hunt, as the stops from those short-term traders are usually triggered in this process.

You have to keep in mind that it is the job of financial journalist to always find a reason why a certain price move has happened.

So if you notice that there is really no reason why a certain pair moved, but you are aware of the fact that positioning is either overly long or short, you can imply that this was simply a stop hunt.

How To Take Advantage Of Market Squeeze

1) If there is no reason for a certain price move and you are sure it was only stop loss-driven, you can fade the move and trade in the direction of the trend/sentiment.

You could of course join the squeeze and try to hunt the stops, but you need to be quick.

2) The squeezes that happen due to an event that has changed short-term sentiment or even medium-term/long-term sentiment endure longer and you can take advantage of those trapped traders that are caught on the wrong side by joining the squeeze.

For example: Let's say the RBA (Reserve Bank of Australia) does not cut interest rates in August.

The majority of traders expected they would do so and positioning is extremely short. What will happen? We will see a larger short squeeze driven by position covering and stop loss triggering.

Tools for Market Positioning:

Retail positioning is of course not significant for such a large market, but you can use it to get an idea what some of the retail traders are doing.

Most of them use similar strategies and a large majority of them is positioned wrong, so you want to notice when market positions is overly long or overly short.

[Foreign Exchange Positions | Forex Open Position Ratios | OANDA fxTrade](#)

COT Charts (based on the CFTC IMM report released every Friday):

[Commitments Of Traders Reports – COT Report, COT Charts, COT Analysis and COT Data – COTbase.com](#)

Sites where you can get occasionally info about overall FX interbank positioning (from what I've figured out they derive it from various bank reports etc.):

[FXWW Market Commentary Blog – FXWW Market Commentary](#)

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